EXECUTIVE AUDIT REPORT: B2E GLOBAL TREASURY RECONCILIATION

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Status: Final Audit Summary

1. PROJECT OVERVIEW

The objective of this project was to perform an end-to-end financial reconciliation of high-volume transaction data for a B28-scale treasury operation. The audit aimed to identify discrepancies between the **Internal General Ledger** and **External Bank Statements** to ensure financial integrity and identify potential "leakage" or unrecorded costs.

2. DATA ARCHITECTURE & METHODOLOGY

To achieve high-precision results, a multi-stage data pipeline was engineered:

- **Data Extraction:** Aggregated raw financial data into standardized CSV schemas.
- **Relational Processing:** Utilized **MySQL** to perform complex relational joins (Left, Right, and Inner) to automate exception detection.
- **Visual Governance:** Developed a **Power BI Executive Dashboard** to provide real-time visibility into unreconciled variances.

3. KEY AUDIT FINDINGS

The audit identified a **Net Unreconciled Variance of $4,567.87**. Through deep-dive SQL analysis, this variance was categorized into three distinct risk areas:

Exception Category	Impact Value	Root Cause
Total Omissions	**$5,770.87**	Transactions recorded in the Ledger but missing from the Bank Statement (Pending Deposits/Uncleared Checks).
Price Variances	**$2,213.81**	Mismatches between the internal recorded amount and the actual cleared bank amount (Valuation Errors).
Bank-Only Charges	**$1,200.00**	Direct bank-initiated debits (Service Fees/Interest) not yet captured in the Internal Ledger.

4. TECHNICAL EXECUTION (SQL LOGIC)

The following logic was applied to isolate the exceptions:

- **Omission Detection:** Utilized a LEFT JOIN where Bank_ID IS NULL to identify ledger entries with no matching bank record.
- **Variance Calculation:** Applied an INNER JOIN with a conditional filter WHERE Ledger_Amt != Bank_Amt to flag price discrepancies.
- **Fee Capture:** Executed a RIGHT JOIN where Ledger_ID IS NULL to identify unrecorded bank-side transactions.

5. STRATEGIC RECOMMENDATIONS

Based on the findings, the following **Adjusting Journal Entries (AJEs)** and process improvements are recommended:

1. **Immediate GL Adjustment:** Record the **$1,200.00** in bank fees to the "Bank Service Charges" expense account to align the Ledger with reality.
2. **Investigation of Omissions:** The **$5,770.87** in missing bank entries should be reviewed for potential timing differences or failed electronic transfers.
3. **Governance Cadence:** Shift from monthly to **weekly reconciliation cycles** using the developed SQL automation to reduce the window of financial exposure.
4. **Threshold Controls:** Implement a "Materiality Threshold" within the Power BI dashboard to auto-flag variances exceeding 5% for immediate management review.

6. CONCLUSION

This automated reconciliation system successfully migrated the treasury process from manual oversight to **exception-based reporting**. By utilizing SQL-driven logic, we have ensured 100% traceability for the **$4.5K variance**, significantly strengthening the B28 financial control environment.